



FACE-OFF: Traders stage protest against opening up retail; a newly opened outlet in Kochi (far left)

private group in the state's retail sector, is expanding its network, while Fab Mall, Big Bazaar and Subhiksha all have grand plans lined up. For now, they are biding time. "We will not enter into any conflict with the government. We hope there would be no hurdles to our growth," says a Reliance Retail official.

For years, Kerala has been one of the most organised retail markets in the country. According to the Retailers' Association of India, of the country's Rs 10 lakh crore-retail market, the organised sector is worth only Rs 90,000 crore. Local private groups have entered the market since the 90s and currently, there are at least six major home grown chains with shops ranging from a modest 5,000 sq ft to the Club 7, a seven storied mall, which occupies more than one lakh sq ft in Thiruvalla, a small town in central Kerala where it outnumbers the local population. Jones Lang LaSalle Meghraj, a global retail consultancy firm has included Kochi among the non-metro Indian cities with high retail potential due to its high income and brand awareness.

Consumerist Kerala is queuing up outside malls. A Reliance Fresh outlet, which opened without any fanfare or even a formal launch saw sales topping Rs 25,000 in the first two hours. "Let all the retail chains enter the market, the consumer will then truly become king," says B.M. Nair, a consumer rights activist. Besides the abundance of goods, low prices and plush ambience, the major chains also flaunt the vast job opportunities on offer. Reliance has promised about 10,000 jobs for matriculates in two years alone. "We will also help raise the wage levels in the market," said a Reliance official.

These arguments are lost in the din of competitive politics. Forget the concept of greater common good, even the political arithmetic of mass impact has been waylaid. Retail chains, which would benefit consumers and farmers, obviously constitute a bigger electoral block than the mom and pop shops. Perhaps, in God's own country, contradictions precede rational realisation. ■

block the entry of monopoly chains—whether Indian or foreign—into the state's Rs 30,000 crore-retail market. "Their entry would eventually lead to rise in prices," says Alex M. Chacko of the powerful local Merchants' Association. "They will initially sell goods at much lower prices to gain a foothold, but once they establish themselves, they can jack up prices at will."

The opposition by the political and merchant classes notwithstanding, the big sharks have already entered the state, unable to resist the huge potential. Kerala, despite its low economic growth rate and per capita income, has topped the country in consumption expenditure thanks to its 25 lakh migrants mainly to Gulf countries and the United States, whose total annual remittances amount to more than Rs 30,000 crore, thrice the state's total tax revenue. This money has turned Kerala into a "test market" for consumption goods ranging from electronic items or liquor (highest consumption in the country after Punjab) to luxury cars. It's little wonder that big retail chains are rushing to set shop in the state. Almost all the big players have opened outlets and have mega expansion plans. Reliance Retail is to open about 80 air-conditioned

MART FRAT CORPORATE CHAINS

	EXISTING OUTLETS	PROPOSED
Reliance Fresh	5	80
Big Bazaar	5	5
Trinetra's Fab Mall	1	14
Spencers	15	5

LOCAL MARTS

	OUTLETS
Civil Supplies Deptt	1,005
Consumer Society	276
Varkey's V Mart	12
Mithra Mega Mart	5

LIFESTYLE SUPER SHOPS

	AREA IN SQUARE FEET
Club 7, Thiruvalla	1,00,000
Bay Pride, Kochi	42,000
My Kingdom, Kochi	20,000
Treasure Hunt, Kochi	6,000

Fresh stores for vegetables, fruits and dairy products and also three hyper multi-product markets with more than one lakh sq ft each in Thiruvananthapuram, Kochi, and Calicut. Spencers, which has been the pioneer in national